

Personal Finance

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Jan/26

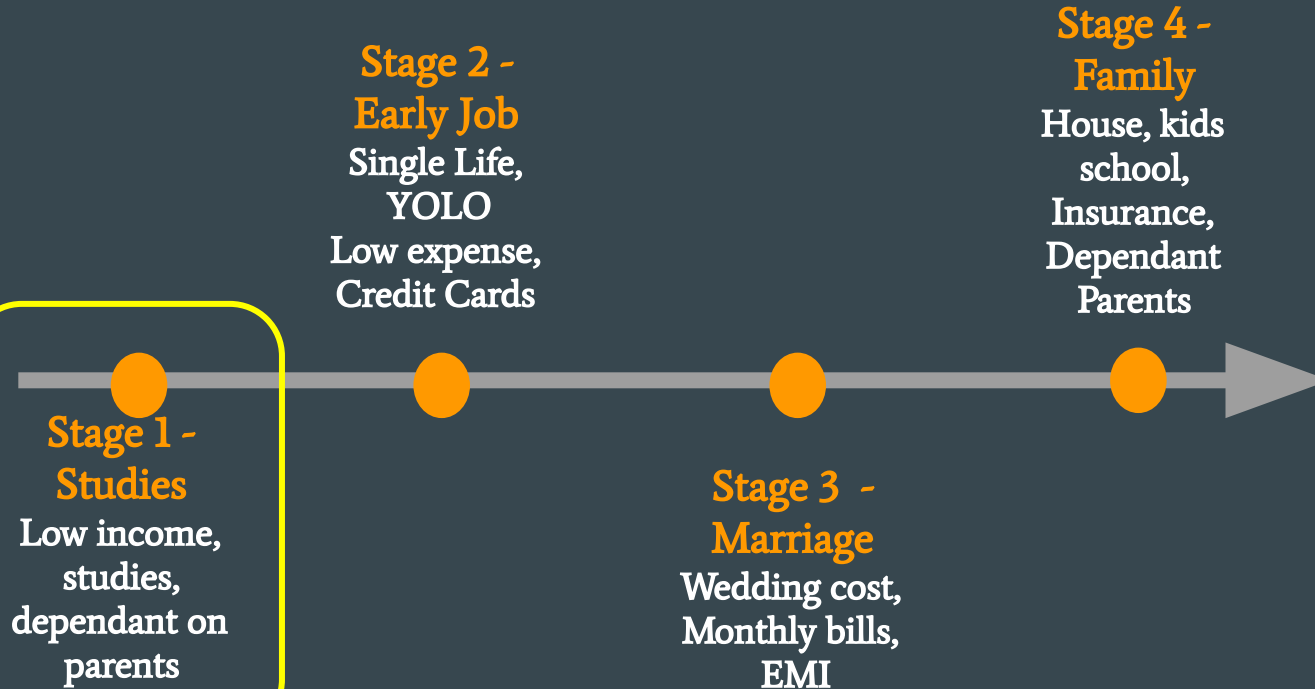
Agenda

Quizzes and Q&A

- Slido
 - Scan the QR Code
 - OR
 - Login to [Slideo.com](https://slido.com) using ICYM2026 as passcode
 - [Link](#)
- Download
 - Chatgpt
 - Gemini
 - Any other AI app.



Different Stages of life



Me Spending My Parents Money



Me Spending My Own Money



Every Stage Requires A Different Risk and Liquidity Profile

What is Personal Finance

Personal finance is 80% behavior and discipline, and only 20% head knowledge.



Holistic View

It's not about finding the single stock with the highest ROI. It's about how your money supports your entire life journey.



Self-Control

Discipline in spending isn't about deprivation; it's about directing your resources to what truly matters to you.



Psychology

Avoiding the traps of **greed** when markets are up and fear when they are down. Staying steady is the real "alpha."



Protection

A holistic plan accounts for the "what-ifs." Discipline means insuring your health and life before chasing returns.

"Financial success is not a hard science. It's a soft skill, where how you **behave is more important than what you know."**

The Five Pillars of Personal Finance

A holistic framework for your financial foundation.



THE ENGINE

1. Income

Salary, bonuses, or side-hustles. The fuel that powers your goals.



THE LEAK

2. Spending

Managing Opex.
Success is keeping
 $\text{Spending} < \text{Income}$
consistently.



THE BUFFER

3. Saving

Your emergency
fund. Keeps you
debt-free when life
gets unpredictable.



THE MULTIPLIER

4. Investing

Buying assets that
grow while you
sleep. Where true
wealth is built.



THE SHIELD

5. Shield

Health & Term
insurance. Ensuring
one crisis doesn't
wipe you out.

Highest Focus

2//3. Budgeting and Saving

Step 1: Allocation

The moment salary hits your bank on the 1st, create your AOP (Annual Operating Plan) for the month. Don't spend first; allocate first.

Savings (Future You) **X%**

Expenses (Operational) **Y%**

Emergency (The Shield) **Z%**

Salary	100%
Rent	40%
Expenses	10%
Food	8%
Savings	42%

Step 2: Diversify

Don't fall for the 100% Stock trap. True wealth is built on stability and growth. Apply the 30:30:30 rule to your savings chunk.

Equity (Growth) **30%**

Debt/FD (Stability) **30%**

Liquid Cash (Safety) **30%**

Savings	42%
Equity	14%
FD	14%
Safety	14%

2//3. Budgeting and Saving - Theory to Reality

Category	Sub-Category	Jan	Feb	March
Income	Salary	100	100	100
	Side Hustle	0	0	0
Savings	Savings %	40%	15%	15%
	Equity	15	5	5
	FD	10	5	5
	Emergency	15	5	5
Expense	Rent	20	20	20
	Food	15	40	15
	Travel	20	20	20
	Etc 1	1	1	1
	Etc 2	2	2	2

The "Self-Guy" Way

Maintain full control and privacy by using a manual Google Sheet or Excel. The act of manual entry builds financial awareness.

The App Route

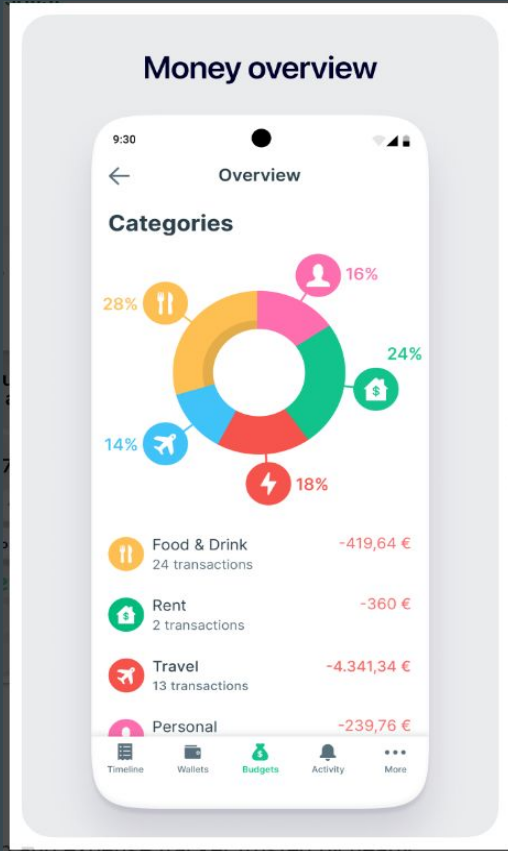
Prefer automation? Use free online tools to track spending in real-time. The best system is the one you actually use.

[Google Sheets](#)[Walnut](#)[YNAB](#)[Spendee](#)

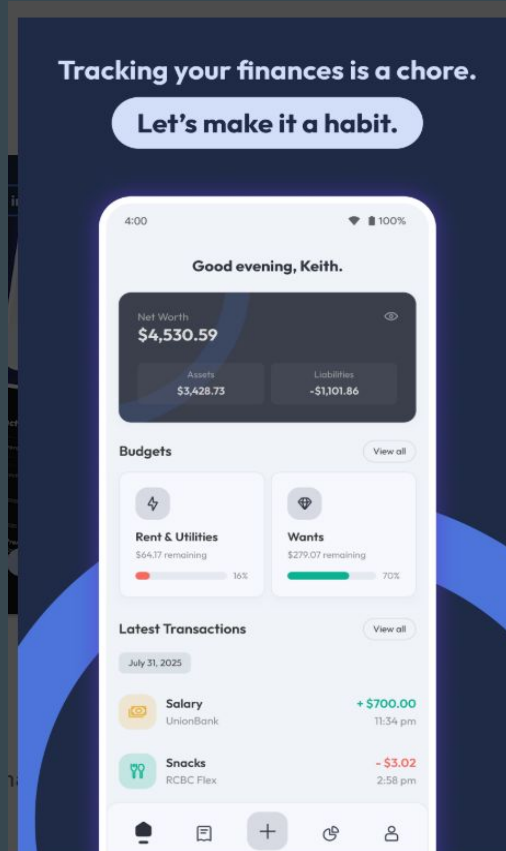
"A budget tells your money where to go instead of wondering where it went."

2//3. Budgeting and Saving - Theory to Reality

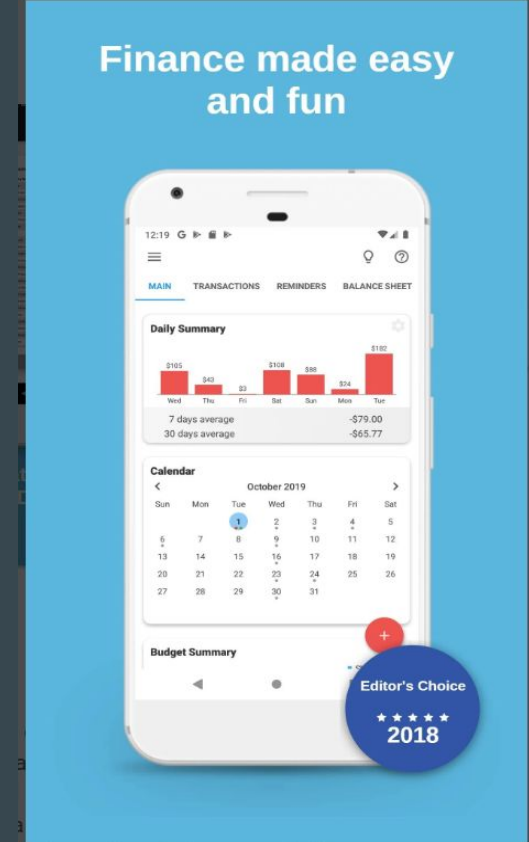
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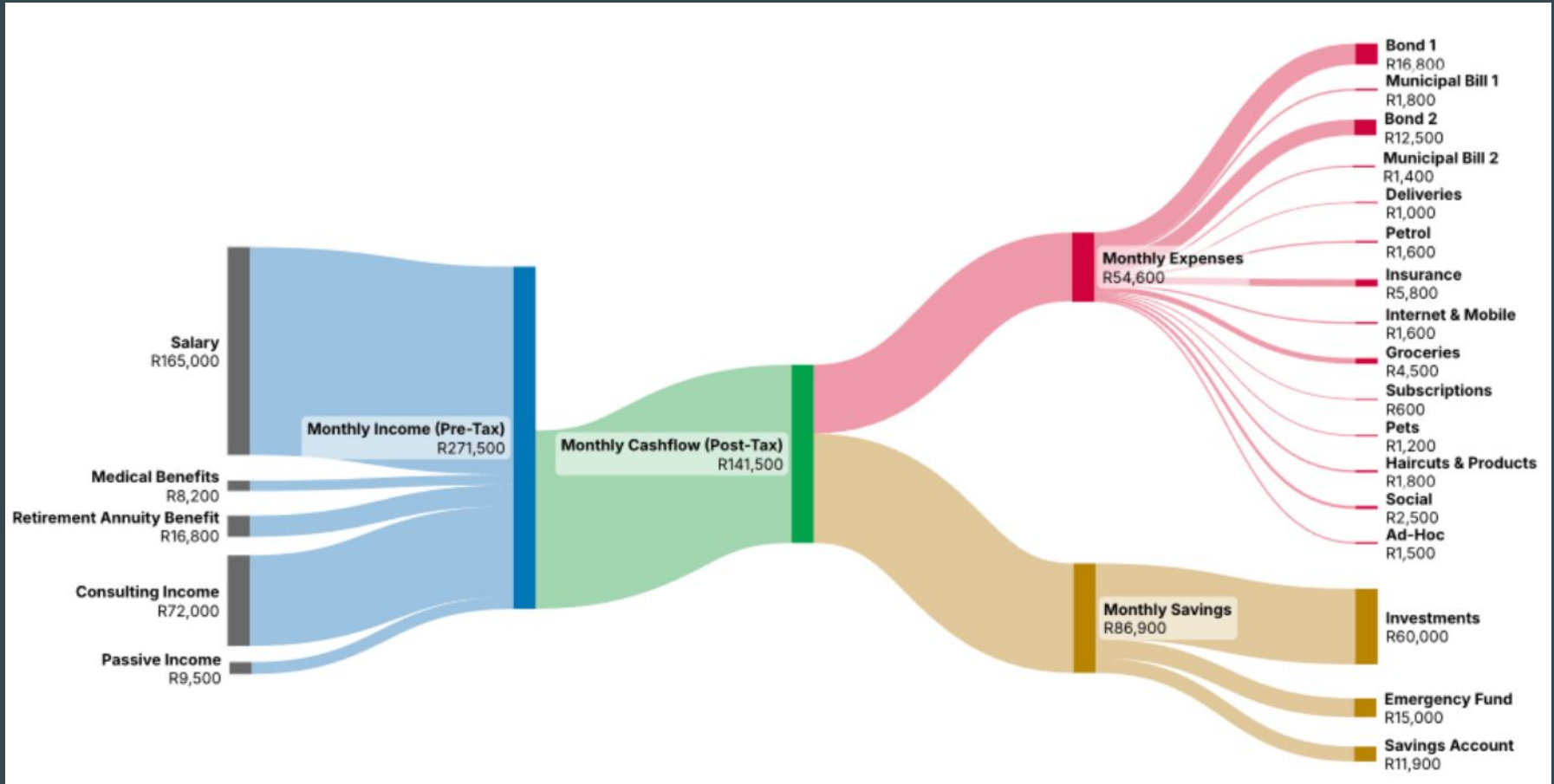
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2//3. Budgeting and Saving - Avg Joe Expenses in Blr



4. Investing (I am NOT going to talk about investing)

- **Consistency and discipline** . Ex - Consistently have a SIP of 10K each month. Keep on increasing as your salary increases.
- **Process and framework >> spontaneous decisions** . When the ship sinks, it's the retail investors who lose heavily and fail to recover.
- **One gained opportunity >> 1000 lost opportunity.**
- Do not blindly follow Youtube//Instagram Finfluencer without vetting their proficiency.
 - **Influencers sell your attention to advertisers.**
 - More view/attention more revenue to their channel.
 - They are optimising for their revenue growth and not your growth.
 - While they lose a subscriber, you lose your hard earned money.

5. Shield : Within 6 to 9 months of your first job



IMPORTANT

Before you grow your wealth, you must protect your life.



Parents' Health (Min. 5L)

The biggest financial shock to a 20-something is often a family medical emergency. Secure their health to protect your savings.



Personal Health Insurance

Never rely solely on your company. If you lose your job, you lose your cover. Keep an independent policy for continuity.



Term Insurance (The Hedge)

Pure financial safety for your dependents. Think of it as a hedge against the ultimate life risk. Massive cover for low premiums.

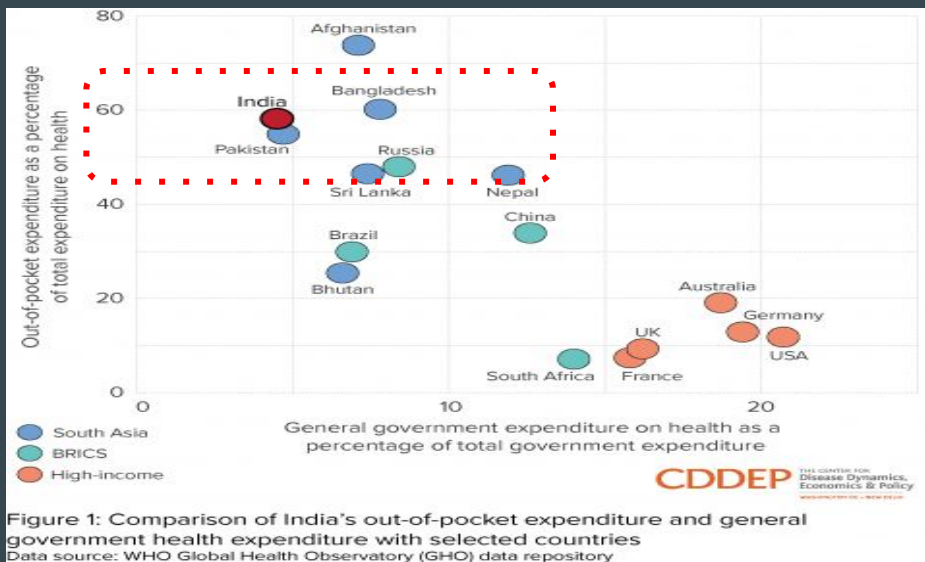


Liquid Emergency Fund

Cash is your ultimate shield. Keep 6 months of expenses in a liquid account where you can access it in minutes.

The Age 21 Advantage: Start when you are healthy and premiums are lowest. After **8 years** of continuous premiums, insurance companies **cannot reject** claims based on non-disclosure. Build your history now!

Healthcare is one of major OOPE in India



Treatment Cost for Cardio-vascular Diseases		
City	Minimum Price	Maximum Price
New Delhi	₹ 1,70,000	₹4,50,000
Mumbai	₹ 1,40,000	₹ 7,00,000
Kolkata	₹ 1,15,000	₹ 4,50,000
Bengaluru	₹ 70,000	₹ 6,00,000
Chennai	₹1,50,000	₹ 6,00,000
Hyderabad	₹ 1,50,000	₹ 8,00,000

1. The India Reality: High out-of-pocket medical costs make personal health and term insurance a non-negotiable foundation, not an "optional" expense.
2. Beyond the Paycheck: Company-provided insurance is a temporary "bonus"—personal policies ensure you are never left unprotected during job transitions or layoffs.
3. The 21-Year Advantage: Starting now locks in the lowest possible premiums and activates the "8-year moratorium rule," making your future claims virtually bulletproof.

1. <https://onehealthtrust.org/news-media/blog/63-million-indian-pushed-into-poverty-due-to-health-expenses-each-year/>
2. <https://www.godigit.com/health-guides/cost-of-healthcare-in-india>
3. OOPE - out of pocket expenditure

Term Insurance

1

Sort/Filter

Life cover
1 Crore

Cover till
60 Yrs of age

Monthly

Yearly

Now Saving 5%**

PayTerm 5 yrs

I won't promote

Life cover
₹1 Cr
Pay Term: 5 yrs

Cover till age
60 Yrs

Claim settled
99.3 %

Get 100% money back

3 Free Add-ons

Plan Details

16% discount included

See how

Online Saving ₹1.6 K

Effective Saving 42%

₹31,968 /year (1st yr)

₹37,609 from 2nd yr

Know You

Why Te
High co

1. 21 year old, Cover of 1 Cr till the age of 60.
2. Per year premium of 35K for 5 years, total premium of ~2L.
3. With 2L, you get a cover of 1 Cr until you are 60. [Bullet - ~3L, Iphone - ~1L, International Vacation - ~2L]
4. An Average wedding costs ~15L today, with 2L you can protect your family against any knee jerk accident or event.
5. Caveat:
 - a. Higher premium for higher ages.
 - b. Higher premium if you consume alcohol or cigarettes.
6. ShankerNath YT - [Link](#)

Practical use of AI in personal Finance

1. **Credit Cards and CIBIL** : I am a 21 year old male, working in Northern thrust, Bangalore and earning 35K per month. I spend majorly on food and clothes and shop on amazon. My monthly discretionary expenses are 10K, I want to buy a Life Time Free credit card, as a expert in suggesting credit, can you suggest Top 3 cards and give their top 5 pros and cons? Also explain how credit cards help me build my CIBIL score. Give your final verdict in table format.
2. **FIRE - Financial Freedom and Retire Early** : I am a 21 year old male, working in Northern thrust, Bangalore and earning 35K per month. I plan to complete my MBA and move to Dubai and I'll be earning 1L per month, I plan to get married at 29, and have two kids. Assume my expenses are 30K and increase 10% every year and consider any other other expenses you deem necessary, for example MBA cost, wedding cost etc. My Fire number is 5 cr and I want to achieve it by 40. How can I make this possible. Give me three scenario, good, bad, ugly. Give me a year wise net worth table for each scenario.
3. **Psychology bias** : Explain the Top 5 psychology bias for investing
 - a. Loss Aversion, Herd Mentality (The "FOMO" Trap), Confirmation Bias, Overconfidence Bias
4. **Buying vs Renting House** :
5. **Buying a 10L car vs 20L car** :
6. **Planning a lavish wedding of 25L vs Average wedding of 10L** :
7. **Should I do an MBA from a Tier 2 college in India or Study abroad** :
8. **What is personal finance and give multiple choice question to know more about it ?**

Credit Cards and CIBIL

Final Verdict: Which one should you pick?

Card Name	Best Suited For	Key Reward	Verdict
Amazon ICICI	Loyal Amazon Shoppers	5% flat cashback	Must-Have
Swiggy HDFC	Foodies & Quick Commerce	10% Swiggy / 5% Shopping	Best for Lifestyle
IDFC Millennia	Movie-goers & Rail Travelers	10X Reward Milestones	Good All-Rounder

 Export to Sheets



Personal Finance is a Journey and not a Destination

Thank You